his interlocutors had expressed concern about possible spill-over of the insurgency onto Indian territory. Saran noted, however, that certain quarters within the Indian government had argued that India should maintain contact with the Maoists in order to influence them and to keep open communication channels in the event of a worst-case scenario in which the Maoists ultimately gain power. We cannot discount the possibility that our Nepali sources, many of whom resent

India's influence in their country, may have their own motives in conveying to us reports of Indian double-dealing. We have always found Saran professional, collegial and cooperative, and believe that he does not sanction—and may probably not be aware of—all of R&AW activities in Nepal. His acknowledgement that some in the government of India 'go off on their own' and that some advocate maintaining contact and influence with the Maoists is his first admission to us that some elements within his Embassy may be working at crosspurposes to official Indian government policy.

While the cable is self-explanatory about the growing divisions among the decision makers, Khatri argued that there were strong undercurrents of resentment in Nepal in early 2000 because of the feeling that India had never allowed Nepal to grow. Such public perception was built largely due to the Indian government's unwillingness to have top leaders as Indian assets and its ambivalent approach in dealing with pro-India elements in Nepalese politics. It was also partly due to the aggressive propaganda against India by a certain section of Nepalese Maoists and Pakistani operatives.

This perception was wrong because India did enough. But the massive hype created by anti-India elements was more visible.